funds will go down. In the best advanced economies, the numerical value for the MCPF is from 1.5 to 2.

Until those changes are implemented, however, the rule of 3 is a major constraint upon public policy thinking in India.

Element 4: The administrative constraint

Why do things go wrong? Because it is difficult to build effective management structures in government.

We in India know a lot about the management of large private firms. This makes it easy to think that such knowledge can be brought into government contexts. However, a country is not a company.

Government organizations are bigger than anything seen in the private sector. Indian Railways employs 1.3 million people, while Tata Consultancy Services (TCS) has 0.4 million.

In all large organizations, there are principal–agent problems. The employees care about their own interests, and not the objective of the organization. Management is about establishing procedures for overcoming this conflict of interest.

Public administration, the management of government organizations, is harder than management in the private sector, for three reasons. The government wields coercive power (to compel private persons) or the power to spend public money (that is, in turn, obtained by coercing private persons to pay taxes). This is not found in private firms. Private firms keep score using profits or share prices. There is no comparable dashboard in government. Private firms have competitors, and face the threat of going out of business, while the government is a monopolist that will never go out of business.

Government organizations thus contain the hardest management problem. How do we obtain good behaviour from employees that wield coercive power, while lacking good measures of performance, and having no threat of organizational extinction?